Beacon Plaza — Investment / Sales Offering Memorandum

Charlotte, NC office asset · Analysis date 2026-08-31 · Original fictional evaluation material

Executive Summary

Source-backed analysis. Assumptions remain subject to diligence.

Beacon Plaza is a 12-suite office asset in Charlotte, NC totaling 66,400 SF. As of the 2026-08-31 certified rent roll, nine suites (49,770 SF) are in physical possession, one suite is pending (not yet possessed), and two suites are vacant. Physical unit occupancy is 9/12 (75.0%); the manager's headline of 10/12 counts the pending suite as leased.

Applying the underwriting instructions, we run scheduled monthly rents ×12 for all 12 suites as the gross potential rent, apply a 5% economic loss and $350/unit of other income, and capitalize NOI before reserves at 7.5000%. Underwritten EGI is $1,541,850, NOI before reserves is $1,042,331, and NCF after reserves is $1,038,731. Capitalized value is $13,897,740. Maximum supportable loan is $8,338,644 (LTV-binding at 60%), producing net cash-out of $1,710,258 after the 1% origination fee, $45,000 closing costs and $6,500,000 payoff.

No asking price, market comps, photos or sponsor history are provided; those items are labeled absent rather than estimated.

Property & Suite Mix

The asset comprises three repeating suite types. The manager's group mapping (A/B/C) corresponds to Small / Standard / Large suites, respectively.

Group	Type	Total suites	Occupied (physical)	Area SF each
A	Small suite	4	3	5380
B	Standard suite	4	3	5500
C	Large suite	4	3	5710
Total	—	12	9	66,400 (sum)

Lease & Occupancy Analysis

Unit occupancy 9/12 = 0.7500. Occupied area 49,770 SF of 66,400 SF = 0.7496. One pending suite (Suite 010) has not taken possession and is excluded from occupancy. Two suites (011, 012) are vacant.

Suite 001 has an executed lease at $11,050/month expiring 2027-02-28 — an active near-term expiry within the 12-month window from the 2026-08-31 evaluation date. The archive roll (dated 2026-06-30) is stale and shows a lower $10,975 monthly rent for Suite 001; the certified roll and executed lease control at $11,050. The property manager confirmed no amendments or free-rent concessions affect Suite 001 as of 2026-08-31, so no unsigned rent change or temporary free-rent condition is present.

All remaining suites carry a 2029-08-31 expiration, so aside from Suite 001 there is no active suite expiry inside the next 12 months.

Historical vs Underwritten Financials

T12 cash operating statement (2025-09-01 through 2026-08-31) reports collections of $1,456,920, tax $169,974, insurance $56,658, other recurring opex $226,632, and reported NOI $1,003,656. A roof replacement was correctly booked as a capital item (0 in repairs), so no capital-in-opex misclassification exists in the ledger.

Underwriting substitutes stabilized gross potential rent ($1,618,800 = certified monthly rents ×12) with a 5% economic loss and $4,200 other income, yielding EGI $1,541,850. Operating expenses include tax $169,974, insurance $56,658, other recurring opex $226,632, and management fee at 3% of EGI ($46,256), totaling $499,520. NOI before reserves is $1,042,331; replacement reserves of $3,600 ($300 × 12) reduce NCF to $1,038,731.

Line	T12 actual	Underwriting
Revenue	$1,456,920 (collections)	$1,541,850 EGI
Real estate tax	$169,974	$169,974
Insurance	$56,658	$56,658
Other recurring opex	$226,632	$226,632
Management fee	not itemized in T12	$46,256 (3% EGI)
Reported / UW NOI	$1,003,656	$1,042,331 before reserves
Reserves	—	$3,600
UW NCF	—	$1,038,731

Debt Sizing

Sizing rate is the greater of the 6.7500% note rate and the 6.0000% floor, so 6.7500% governs. Amortization 30 years, monthly, produces an annual constant of 0.077832. The three tests produce: LTV $8,338,644 (60% × $13,897,740); DSCR $10,676,673 ($1,038,731 / 1.25 / annual constant); debt yield $11,541,450 ($1,038,731 / 9%). LTV binds.

Sources & uses: loan $8,338,644 funds existing payoff $6,500,000, origination fee $83,386 (1%), closing costs $45,000, with residual net cash-out to sponsor of $1,710,258.

Test	Constrained loan
LTV 60% (binds)	$8,338,644
DSCR 1.25x	$10,676,673
Debt yield 9.00%	$11,541,450
Maximum loan	$8,338,644

Risks & Missing Diligence

Present risks: (1) manager occupancy headline includes an unpossessed pending suite; (2) Suite 001 has an active near-term rollover (2027-02-28).

Absent risks: capital in opex (roof was correctly booked as capital, zero in repairs); unsigned rent change (correspondence confirms none); temporary free rent (none applies); sizing floor binding (note rate 6.7500% exceeds 6.00% floor); missing insurance (a policy is on file with $2,000,000 GL aggregate limit).

Refinance shortfall: net cash-out is positive at $1,710,258, so no additional equity is required and no shortfall exists.

Missing diligence (labeled, not resolved): legal, environmental, property condition and title reviews are not complete; no asking price, market comps, photos or sponsor history are supplied.

Source Notes

Certified rent roll (2026-08-31) controls physical occupancy and current contractual rent, superseding the 2026-06-30 archive. Executed lease-001 controls Suite 001 rent ($11,050). Correspondence confirms no amendment or concession. Operating statement reflects T12 cash results; reported NOI is separately labeled from underwritten NOI and NCF. Insurance record is a policy declaration (coverage limit), not an operating expense. All figures are original fictional evaluation material; no actual transaction is represented.